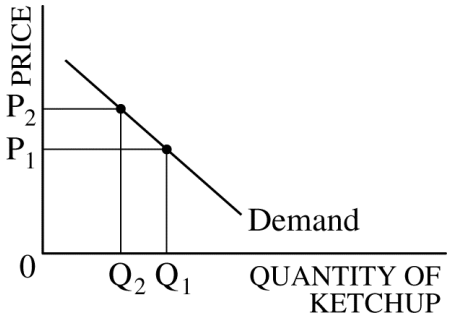
2.7 equilibrium

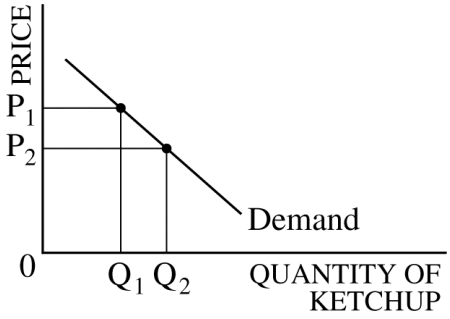
1. Assume that mustard and ketchup are considered substitutes by consumers. If the price of mustard increases, which of the following graphs represents the most likely response in the ketchup market?

CCCAD
DBDBA
ADDAE
DCCCB
CBDBE
CDBCD
BBABC

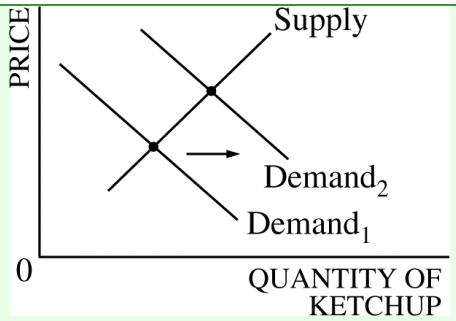
(A)



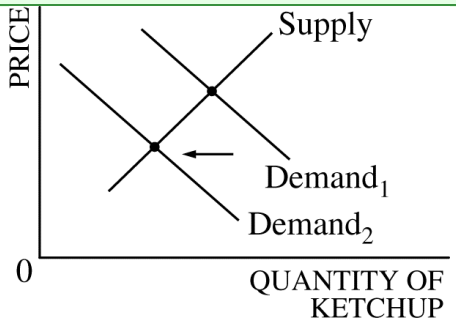
(B)



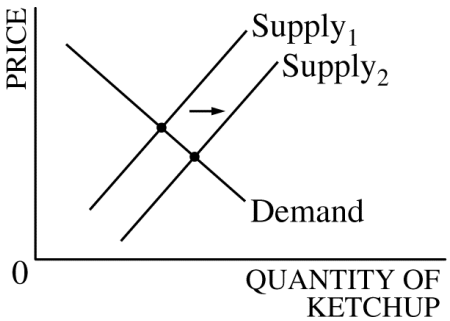
(C) ✓



(D)



(E)



2.7 equilibrium

2. A decrease in raw material prices will change the equilibrium price and quantity in a market in which of the following ways?

(A)

Price	Quantity
Increase	Increase

(B)

Price	Quantity
Increase	Decrease

(C) ✓

Price	Quantity
Decrease	Increase

(D)

Price	Quantity
Decrease	Decrease

(E)

Price	Quantity
No change	Increase

3. Assume that the market for lemonade is perfectly competitive and currently in equilibrium. Lemons are key ingredients in lemonade. If the price of lemons decreases, how will the lemonade market be affected?

2.7 equilibrium

(A) Supply will shift leftward, increasing the equilibrium price and decreasing the equilibrium quantity of lemonade.

(B) Supply will shift rightward, increasing the equilibrium price and increasing the equilibrium quantity of lemonade.

(C) Supply will shift rightward, decreasing the equilibrium price and increasing the equilibrium quantity of lemonade. ✓

(D) Demand will shift leftward, decreasing the equilibrium price and decreasing the equilibrium quantity of lemonade.

(E) Demand will shift rightward, increasing the equilibrium price and increasing the equilibrium quantity of lemonade.

4. Assume that consumers consider potatoes to be an inferior good, but consider rice to be a normal good. An increase in consumers' incomes will most likely affect the equilibrium price and quantity of potatoes and rice in which of the following ways?

2.7 equilibrium

(A)

Potatoes		Rice	
Price	*Quantity*	*Price*	*Quantity*
Decrease	Decrease	Increase	Increase

(B)

Potatoes		Rice	
Price	*Quantity*	*Price*	*Quantity*
Decrease	Increase	Increase	Decrease

(C)

Potatoes		Rice	
Price	*Quantity*	*Price*	*Quantity*
Decrease	Decrease	Decrease	Decrease

(D)

Potatoes		Rice	
Price	*Quantity*	*Price*	*Quantity*
Increase	Increase	Decrease	Decrease

(E)

Potatoes		Rice	
Price	*Quantity*	*Price*	*Quantity*
Increase	Decrease	Increase	Decrease

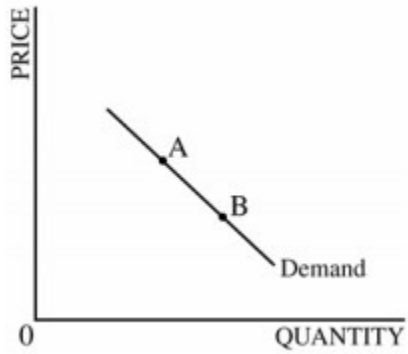
Assume that more corn is used to produce ethanol. Simultaneously, more effective control of pests and weeds occurs in farming.

2.7 equilibrium

5. Which of the following will definitely occur in the corn market?

(A) The price of corn will increase.
(B) The quantity of corn will decrease.
(C) The price of corn will decrease.
(D) The quantity of corn will increase. ✓
(E) The supply of corn will decrease.

6.



The graph above shows the market demand for good X. A movement from point A to point B would most likely be caused by

(A) an increase in the price of good Z, a substitute
(B) an increase in consumers' income
(C) a decrease in consumers' income
(D) a decrease in production costs for good X ✓
(E) a decrease in the supply of good X

7. If an unusually cold summer destroyed a large portion of the bee population, the equilibrium price and quantity of honey produced by bees will most likely change in which of the following ways?

2.7 equilibrium

(A)

Price	Quantity
Increase	Increase

(B) ✓

Price	Quantity
Increase	Decrease

(C)

Price	Quantity
Increase	No change

(D)

Price	Quantity
Decrease	Decrease

(E)

Price	Quantity
No change	Decrease

8. Assume that the government increases the unit excise tax on gasoline suppliers and also that people commute longer distances to work as more houses are built in city suburbs. As a result, the equilibrium price and quantity of gasoline will most likely change in which of the following ways?

2.7 equilibrium

(A)

Price	Quantity
Decrease	Decrease

(B)

Price	**Quantity**
Increase	Decrease

(C)

Price	**Quantity**
Increase	Increase

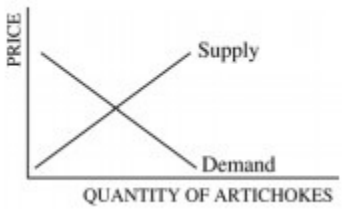
(D) ✓

Price	**Quantity**
Increase	Indeterminate

(E)

Price	**Quantity**
Indeterminate	Increase

9.



The graph above shows the supply and demand curves for artichokes. The surgeon general announces that eating an artichoke a day dramatically reduces one's likelihood of developing cancer. Simultaneously an infestation of the artichoke weevil severely damages the crop. Which of the following will definitely occur as a result?

2.7 equilibrium

(A) The supply of artichokes will increase.

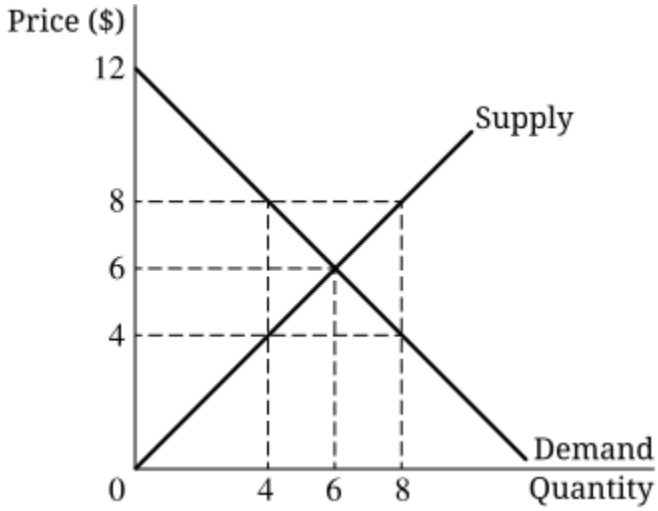
(B) The price of artichokes will increase. ✓

(C) The demand for artichokes will decrease.

(D) The quantity of artichokes grown will decrease.

(E) The profits of farmers who specialize in growing artichokes will decrease.

10.



Apples are produced in a perfectly competitive market with no government intervention. Which of the following price changes will cause the total economic surplus to increase for the apple market depicted in the graph provided?

(A) A decrease in price from $8 to $6 ✓

(B) A decrease in price from $6 to $4

(C) A decrease in price from $6 to $0

(D) An increase in price from $6 to $8

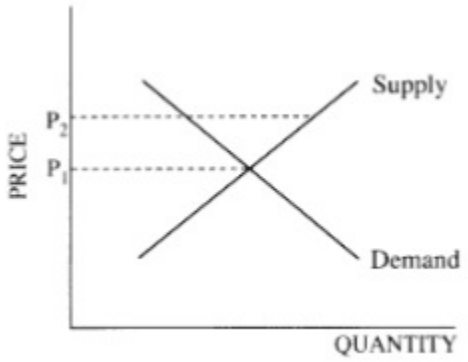
(E) An increase in price from $8 to $12

Answer A

Correct. Total economic surplus is maximized at the market equilibrium price of $6. Since a price of $8 is a disequilibrium price causing deadweight loss to occur, a decrease in price from $8 to $6 will cause total economic surplus to increase.

2.7 equilibrium

11.



The diagram above shows the demand and supply curves for a normal good. The equilibrium price could rise from P_1 to P_2 if

(A) consumers' incomes increased ✓

(B) P_2 were set as a legal maximum

(C) subsidies on the product increased

(D) the price of a complementary product increased

(E) costs of production were substantially lowered

12. A decrease in the supply of oranges raised the price of oranges in the market. The substitution effect of the price increase will motivate consumers to

(A) raise their real income to offset the price effect

(B) decrease their demand for oranges

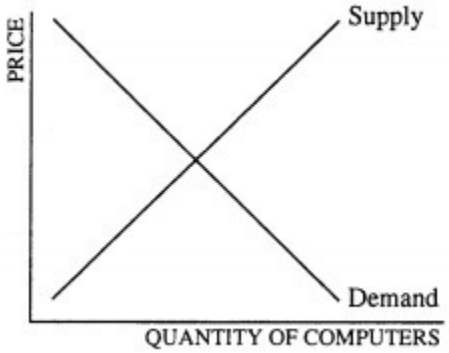
(C) demand that the government set a price ceiling for oranges

(D) increase the quantity of other fruits demanded and decrease the quantity of oranges demanded ✓

(E) decrease the quantity of other fruits demanded and increase the quantity of oranges demanded

2.7 equilibrium

13.

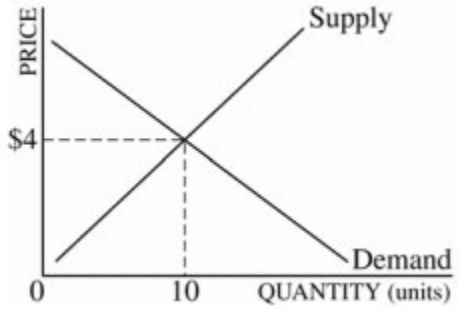


The graph above shows the supply and demand curves for a particular brand of computers. In 1988, 10,000 computers were sold for $1,000 each, but in 1989, 9,000 computers were sold for $1,000 each. Which of the following changes in the supply and demand curves could most likely have caused this change?

	Demand Curve	Supply Curve
(A)	Shift right	Shift right
(B)	Shift right	Shift left
(C)	No change	Shift left
(D) ✓	Shift left	Shift left
(E)	Shift left	No change

2.7 equilibrium

14.



In the market shown in the graph above, at a price of $5, there will be

(A) a surplus and the price will eventually fall ✓

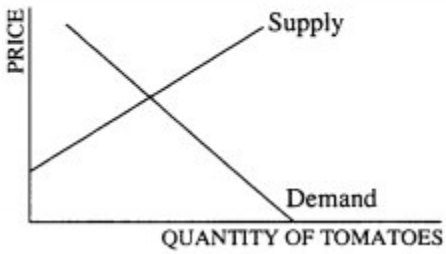
(B) a surplus generating a decrease in demand

(C) a shortage and the price will eventually rise

(D) a shortage generating an increase in supply

(E) an increase in supply and a decrease in demand

15.



On the basis of the graph above, which of the following statements concerning changes in the demand for and supply of tomatoes is correct?

(A) If both the demand and supply increase, the price of tomatoes will definitely increase.

(B) If both the demand and supply decrease, the quantity of tomatoes sold will definitely increase.

(C) If the demand decreases while the supply increases, the price of tomatoes sold will definiftely increase

(D) If the demand decreases while the supply increases, the quantity of tomatoes sold will definitely decrease.

(E) If the demand increases while the supply decreases, the price of tomatoes will definitely increase. ✓

16. Assume that popcorn and movie attendance are complements and that Salty Concession grows corn suitable for popping. Mr Concession will most likely sell a greater quantity of popping corn at a higher price if which of the following occurs?

2.7 equilibrium

(A) The wages of farm workers and movie theater employees increase.

(B) A technological improvement results in less expensive and more efficient harvesting of corn.

(C) The introduction of new fat-free potato chips provides new competition in the snack-food market.

(D) The release of three summer movies sets records for movie attendance ✓

(E) New government regulations force movie theaters to hire more security guards at each theater.

17. Assume that the demand for a certain good is perfectly inelastic and the supply curve of the good is upward sloping. Which of the following occurs in the market for the good if the price of an input used to produce the good increases?

(A) A decrease in both the quantity supplied and the equilibrium amount consumed

(B) A decrease in the quantity supplied and an increase in the equilibrium price

(C) A decrease in the supply and an increase in the equilibrium price ✓

(D) A decrease in both the demand and the equilibrium amount consumed

(E) A decrease in both the quantity demanded and the equilibrium price

18. Assume that the market for beef is perfectly competitive and in equilibrium. Which of the following would most likely result in an increase in both the equilibrium price and the equilibrium quantity of beef?

(A) An increase in the supply of chicken, a substitute good

(B) A decrease in consumers' income, assuming that beef is a normal good

(C) An increase in the supply of potatoes, a complementary good ✓

(D) An increase in the price of corn, an input in the production of beef

(E) An announcement by the medical community that consumption of beef increases the risk of heart disease

19. Assume that the market for tomatoes is in equilibrium at a price of $35 per bushel. If the demand for tomatoes decreases, which of the following will occur?

(A) A shortage at $35, creating an increase in price, leading to an increase in quantity supplied

(B) A shortage at $35, leading to an increase in supply and a decrease in price

(C) A surplus at $35, leading to a decrease in price and in quantity supplied ✓

(D) A surplus at $35, leading to a decrease in supply and an increase in price

(E) A surplus at $35, leading to an increase in price and a decrease in quantity demanded

20. At a price of $10, the quantity demanded of pizzas is 100 and the quantity supplied is 150. Which of the following statements must be true?

2.7 equilibrium

(A) There is a shortage of pizza at a price of $10.

(B) The equilibrium price of pizza is below $10. ✓

(C) The quantity of pizzas sold will be 150.

(D) At equilibrium, fewer than 100 pizzas will be sold.

(E) The pizza market is in equilibrium.

21. Assume that the government imposes a binding price ceiling on a market for an inferior good. Which of the following is most likely to occur in the market if consumers' incomes increase?

(A) The market demand will shift to the right.

(B) The market supply will shift to the right.

(C) The shortage in the market will decrease. ✓

(D) The surplus in the market will increase.

(E) The market price will increase.

Answer C

Correct. A binding price ceiling means that there is a legal maximum price below the equilibrium price which creates a shortage, as the quantity demanded will exceed the quantity supplied. An increase in consumers' incomes causes a decrease in the demand for an inferior good, the demand curve will shift to the left, and the shortage will decrease.

22. Which of the following changes in the demand for and the supply of a good will necessarily result in an increase in both the equilibrium price and quantity of the good in a market?

2.7 equilibrium

(A)

Demand	Supply
Increase	Increase

(B) ✓

Demand	Supply
Increase	No change

(C)

Demand	Supply
No change	Increase

(D)

Demand	Supply
Decrease	Increase

(E)

Demand	Supply
No change	Decrease

23. Which of the following will initially result from an increase in the market demand for a good?

(A) There will be a matching increase in supply.
(B) There will be a decrease in quantity supplied.
(C) The equilibrium price will decrease.
(D) There will be a temporary shortage at the original equilibrium price. ✓
(E) Total producer surplus in the market will decrease.

Answer D

Correct. A shift of the demand curve to the right will create a shortage at the original equilibrium price, which will be eliminated by a rising price to reach a new equilibrium.

2.7 equilibrium

24. Which of the following is most likely to occur when a competitive market adjusts from one equilibrium to another?

(A) A decrease in demand will cause the equilibrium price, equilibrium quantity, and total surplus to increase.

(B) An increase in demand will cause the equilibrium price, equilibrium quantity, and producer surplus to increase. ✓

(C) A decrease in supply will cause the equilibrium price to decrease, the equilibrium quantity to increase, and consumer surplus to decrease.

(D) An increase in supply will cause the equilibrium price to increase, the equilibrium quantity to decrease, and consumer surplus to increase.

(E) A decrease in supply and increase in demand will cause the equilibrium quantity to decrease but the equilibrium price to be indeterminate.

Answer B

Correct. An increase in demand shifts the demand curve to the right. A rightward shift in the demand curve results in an increase in the equilibrium price and the equilibrium quantity, which causes producer surplus (the triangle below the equilibrium price and above the supply curve) to increase.

25. Consider the market for arugula, a normal good. Which of the following changes would result in an increase in both the equilibrium price and the equilibrium quantity of arugula?

(A) A decrease in consumer income

(B) An increase in the price of salad dressing, a complement in consumption

(C) A decrease in the price of radicchio, a substitute in consumption

(D) An increase in the price of water irrigation for arugula farms

(E) An increase in population ✓

Answer E

Correct. An increase in population causes demand to increase. When demand increases, the demand curve shifts to the right. A shift to the right in the demand curve raises the equilibrium price and equilibrium quantity.

26. Assume that the market for a good is characterized by a downward-sloping demand curve and an upward-sloping supply curve. Suppose that there is an improvement in technology for producing the good. Which of the following would occur?

2.7 equilibrium

(A) The impact on consumer surplus would be indeterminate, because of the offsetting impact of the changes in equilibrium price and quantity.

(B) The change in equilibrium price would cause producer surplus to increase.

(C) The total economic surplus in the market would increase. ✓

(D) The demand curve would shift right in response to an increase in the equilibrium price.

(E) The supply curve would shift up resulting in an increase in the equilibrium price and the producer surplus.

Answer C

Correct. The improvement in production technology shifts the supply curve to the right. A shift in the supply curve to the right lowers the equilibrium price and raises the equilibrium quantity. Consumer surplus would increase with the decrease in price and the increase in quantity. The change in producer surplus would be indeterminate because of the offsetting effects of the price and quantity change on producer surplus. However, any loss in producer surplus resulting from a lower price would be transferred to consumer surplus. Thus, total economic surplus in the market would definitely increase.

27. If the supply of fish increases, there will be

(A) an increase in the demand for chicken, a substitute good

(B) an increase in the demand for fish

(C) an increase in the price of fish tacos

(D) a decrease in the price of fish ✓

(E) a decrease in the supply of potatoes, a complementary good

Answer D

Correct. An increase in the supply of fish will shift the supply curve to the right, decreasing the price of fish and increasing the quantity supplied of fish.

28. What will happen to the price and quantity of footballs as a result of an increase in the price of leather used to make footballs?

2.7 equilibrium

(A) Price will increase, and quantity will increase.

(B) Price will increase, and quantity will decrease. ✓

(C) Price will decrease, and quantity will increase.

(D) Price will decrease, and quantity will decrease.

(E) Price will not change, and quantity will not change.

Answer B

Correct. Leather is an input for footballs. If the price of leather increases, the supply curve of footballs will shift to the left along a downward sloping demand curve; equilibrium quantity will decrease, and price will increase.

29. If growing corn becomes more profitable than growing wheat, which of the following will occur?

(A) The supply of corn will decrease.

(B) The price of wheat will decrease.

(C) The price of corn will decrease. ✓

(D) The demand for wheat will increase.

(E) The demand for corn will increase.

30. Ice cream is a normal good. Ice cream and hot fudge are complementary goods, while ice cream and gelato are substitute goods. Which of the following could lead to an increase in the equilibrium price and an indeterminate change in the equilibrium quantity of ice cream?

(A) Consumer incomes rise, and the price of hot fudge increases.

(B) Bacteria in ice cream facilities leads to a number of consumers being hospitalized, and increased dairy production leads to lower input costs for ice cream.

(C) The price of gelato increases, and new technology increases efficiency of ice cream production.

(D) A new study indicates that ice cream is associated with improved bone health, and a leading ice cream producer declares bankruptcy. ✓

(E) A newly popular diet includes avoiding dairy products, and the government begins to subsidize ice cream production.

Answer D

Correct. A study indicating that ice cream can improve bone health would increase demand for ice cream, causing an increase in the equilibrium price and quantity of ice cream. The bankruptcy of a leading ice cream producer would decrease the supply of ice cream, causing an increase in the

2.7 equilibrium

equilibrium price and a decrease in the equilibrium quantity of ice cream. Both changes would cause an increase in the equilibrium price of ice cream and an indeterminate effect on the equilibrium quantity of ice cream.

31. Assume that the market demand for a good is perfectly inelastic, the market supply for the good is perfectly elastic, and the market is in equilibrium. If there is a decrease in the price of a key input used in the production of the good, which of the following will occur?

(A) There will be a decrease in the equilibrium quantity.

(B) There will be no change in the producer surplus. ✓

(C) There will be a decrease in the producer surplus.

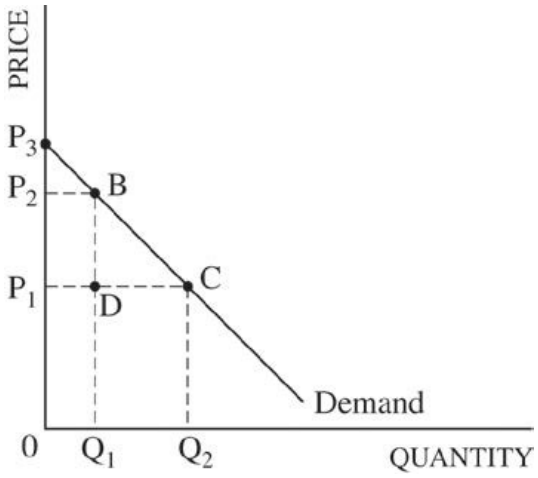
(D) There will be a decrease in the consumer surplus.

(E) There will be an increase in the equilibrium price.

Answer B

Correct. With a perfectly elastic (horizontal) supply curve, there is no producer surplus.

32.



The diagram above shows the demand curve for a good. If the price increases from P_1 to P_2, and quantity consumed decreases from Q_2 to Q_1 , consumer surplus decreases by the area

(A) BDC

(B) P_1P_2BC ✓

(C) P_1P_2BD

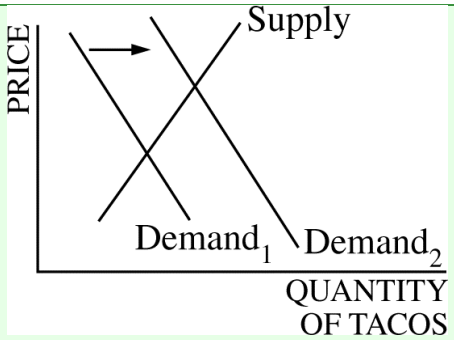
(D) Q_1DCQ_2

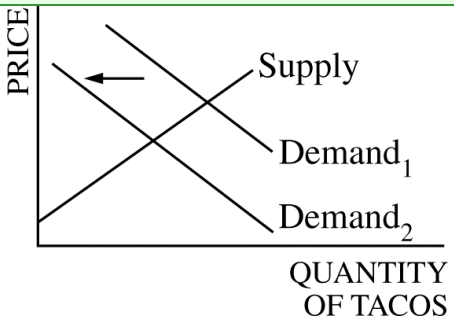
(E) P_2P_3B

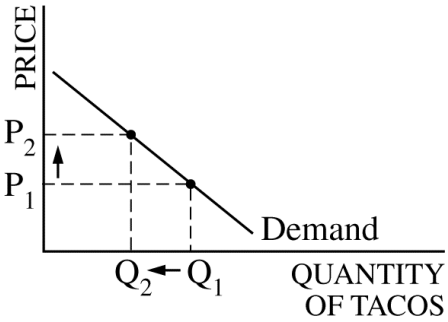
2.7 equilibrium

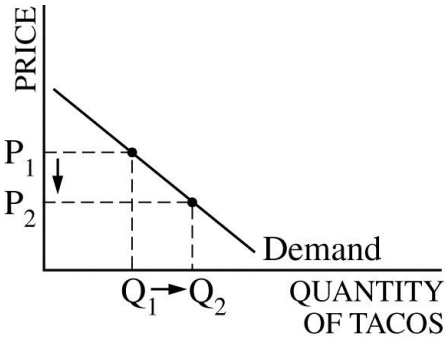
33. For consumers, assume that fish sticks and tacos are substitutes. Which of the following graphs illustrates the effect on the taco market if the price of fish sticks increases?

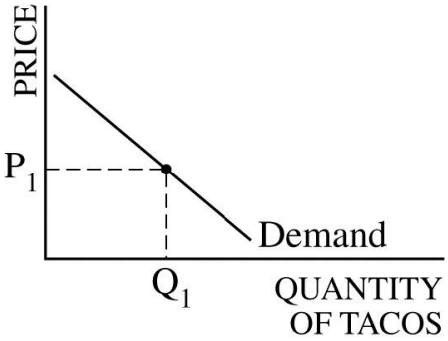
2.7 equilibrium

(A) 

(B) 

(C) 

(D) 

(E) 

2.7 equilibrium

34. Given an increase in the price of material K— which is an input used to produce good X— and an increase in the price of good Y— which is a substitute for good X— which of the following will definitely occur?

(A) The equilibrium price of good X will decrease.

(B) The equilibrium price of good X will increase. ✓

(C) The equilibrium quantity of good X will be unaffected.

(D) The equilibrium quantity of good X will increase.

(E) The equilibrium quantity of good X will decrease.

35. Which of the following describes how a market will respond when the scarcity of a good increases?

(A) Consumers will increase their demand for the good

(B) Consumers will decrease their demand for the good.

(C) The price of the good will increase. ✓

(D) The price of the good will decrease.

(E) Producers will increase the supply of the good.

36. If a hurricane reduced the crab population, the price of crabs and quantity sold would change in which of the following ways?

2.7 equilibrium

(A)

Price	Quantity
Increase	Increase

(B) ✓

Price	Quantity
Increase	Decrease

(C)

Price	Quantity
Decrease	Increase

(D)

Price	Quantity
Decrease	Decrease

(E)

Price	Quantity
No change	Decrease

37. If a normal good is produced in a competitive market, which of the following combination of events could cause the price of the good to increase and the quantity to decrease?

(A) An increase in the average income of consumers and an increase in the number of producing firms

(B) An increase in the average income of consumers and an increase in the price of a variable input ✓

(C) An increase in the price of a substitute good an an increase in the number of producing firms

(D) A decrease in the number of consumers and a decrease in the price of a variable input

(E) A decrease in the average income of consumers and an increase in the number of producing firms

38. If both supply and demand for wheat increase, the equilibrium price and quantity of wheat will most likely change in which of the following ways?

2.7 equilibrium

(A)

Price	Quantity
Decrease	Decrease

(B)

Price	Quantity
Decrease	Increase

(C) ✓

Price	Quantity
Indeterminate	Increase

(D)

Price	Quantity
Increase	Decrease

(E)

Price	Quantity
Increase	Indeterminate

39. If cotton is used to produce towels, an increase in the price of cotton will result in which of the following changes in the towel market?

(A) A decrease in the demand for towels, which leads to a shortage of towels followed by upward pressure on the price of towels

(B) A decrease in the demand for towels, which leads to a surplus of towels followed by downward pressure on the price of towels

(C) A decrease in the supply of towels, which leads to a shortage of towels followed by upward pressure on the price of towels ✓

(D) An increase in the supply of towels, which leads to a surplus of towels followed by downward pressure on the price of towels

(E) An increase in both the demand and supply of towels, which leads to a surplus of towels followed by upward pressure on the price of towels

2.7 equilibrium

40. If shirts and ties are complements and if the price of shirts increases due to an increase in the price of cotton, which of the following is most likely to occur in the market for ties in the short run?

(A) The equilibrium price and quantity of ties will increase.

(B) The equilibrium price and quantity of ties will decrease. ✓

(C) The equilibrium price of ties will increase and the equilibrium quantity will decrease

(D) The supply of ties will increase.

(E) The demand for ties will increase.

41. Which of the following provides a possible explanation for a simultaneous increase in the equilibrium price and the quantity of blueberries in a market?

(A) An increase in the price of strawberries, a substitute ✓

(B) An increase in the supply of strawberries, a substitute

(C) An increase in the price of farmland used to grow blueberries

(D) A decrease in the price of blueberry harvesting equipment

(E) Imposition of a price floor in the market for blueberries

Answer A

Correct. Two goods are substitutes if an increase in the price of one increases the demand for the other. In this situation, the increase in the price of strawberries will cause an increase in the demand for blueberries, shifting the demand curve to the right. The result will be a higher equilibrium price and quantity in the blueberry market.

42. In a perfectly competitive market, which of the following shifts in the supply and demand curves will definitely cause both equilibrium price and quantity to decrease?

2.7 equilibrium

(A)

Supply Curve	Demand Curve
Shifts to the left	Shifts to the left

(B)

Supply Curve	Demand Curve
Shifts to the left	No shift

(C)

Supply Curve	Demand Curve
Shifts to the right	Shifts to the right

(D)

Supply Curve	Demand Curve
No shift	Shifts to the right

(E) ✓

Supply Curve	Demand Curve
No shift	Shifts to the left

43. The market for goldfish is perfectly competitive. From year 1 to year 2, both the price and the quantity of goldfish sold increase. This is most likely caused by

(A) an increase in the supply

(B) a decrease in the supply

(C) an increase in the demand ✓

(D) a decrease in the demand

(E) a decrease in both the demand and the supply

44. Which of the following will likely result in an indeterminate change in the equilibrium quantity of a competitive market?

2.7 equilibrium

(A) An increase in supply along a perfectly inelastic demand curve
(B) A decrease in supply along a relatively elastic demand curve
(C) A decrease in demand along a perfectly elastic supply curve
(D) An increase in demand and a decrease in supply ✓
(E) An increase in demand and an increase in supply

Answer D

Correct. An increase in demand will increase the equilibrium quantity, while a decrease in supply will decrease the equilibrium quantity; these offsetting effects will cause the final effect on the equilibrium quantity to be indeterminate.

45. Which of the following would cause the equilibrium price of good X to increase?

(A) Producers of good X find a new technology that reduces the cost of producing X.
(B) The price of an essential input in the production of good X increases. ✓
(C) Goods X and Y are complements, and the government imposes a tax on good Y.
(D) Good X is a normal good, and the government increases income taxes by 3%.
(E) Good X is an inferior good, and the government decreases income taxes by 10%.

46. Last year 17 million tons of beans were sold for $300 per ton. This year 17 million tons of beans were sold for $285 per ton. Which of the following changes in demand and supply could have caused this outcome?

2.7 equilibrium

(A)

Demand	Supply
Increase	Increase

(B)

Demand	Supply
Increase	Decrease

(C) ✓

Demand	Supply
Decrease	Increase

(D)

Demand	Supply
Decrease	Decrease

(E)

Demand	Supply
Increase	No change

47. Leather and beef are jointly produced such that an increase in the production of one results in an equal increase in the production of the other. An increase in the demand for leather will most likely cause

(A) a decrease in the price of leather

(B) a decrease in the price of beef ✓

(C) a decrease in the equilibrium quantity of beef sold

(D) an increase in the demand for beef in the short run

(E) an increase in the supply of leather

48. Assume the market for a good is in equilibrium. An increase in the market supply of the good will result in

2.7 equilibrium

(A) a shortage at the original price of the good, which causes the market price to decrease
(B) a shortage at the original price of the good, which causes the market price to increase
(C) a surplus at the original price of the good, which causes the market price to decrease ✓
(D) a surplus at the original price of the good, which causes the market price to increase
(E) neither a surplus nor a shortage

Answer C

Correct. An increase in supply will create a surplus at the original price, because quantity supplied will exceed quantity demanded at the original price, resulting in a downward pressure on prices, which causes the market price to decrease.

49.

Price	Quantity Demanded (units)	Quantity Supplied (units)
$1	500	100
$2	400	200
$3	300	300
$4	200	300
$5	100	500

The table provided shows the market demand and supply schedules for wheat. Which of the following is true?

(A) At a price of $1, there is excess supply of wheat and the price will decrease.
(B) At a price of $2, there is excess demand for wheat and the price will decrease.
(C) At a price of $3, there is excess demand for wheat and the price will increase.
(D) At a price of $4, there is excess supply of wheat and the price will decrease. ✓
(E) At a price of $5, there is excess demand for wheat and the price will increase.

Answer D

Correct. At the price of $4, there is a surplus or excess supply, as the quantity supplied exceeds the

2.7 equilibrium

quantity demanded $(300 > 200)$, which causes the price to decrease.

50. Which of the following occurs if the price of oranges is below the equilibrium price?

(A) There is a surplus of oranges.
(B) The quantity supplied of oranges is greater than the quantity demanded.
(C) The quantity supplied of oranges is greater than the quantity sold.
(D) The quantity purchased of oranges is greater than the quantity sold.
(E) The quantity demanded of oranges is greater than the quantity supplied. ✓

51. Which of the following would most likely result in a decrease in the equilibrium price of oranges?

(A) The weather during this orange-growing season is not as good as it was last year.
(B) The price of apples, a substitute for oranges, is higher this year than last year.
(C) New studies suggest that oranges contain traces of cancer-causing substances due to pesticide residue. ✓
(D) A tree-killing fungus spreads through orange orchards across the country.
(E) Firms in the orange industry launch an effective advertising campaign.

52. Removing a binding price floor on milk will affect the quantity of milk demanded and the quantity of milk supplied in the market in which of the following ways?

(A) There will be no change to quantity demanded, and quantity supplied will decrease.
(B) Quantity demanded will decrease, and quantity supplied will decrease.
(C) Quantity demanded will decrease, and quantity supplied will increase.
(D) Quantity demanded will increase, and there will be no change to quantity supplied.
(E) Quantity demanded will increase, and quantity supplied will decrease. ✓

Answer E

Correct. Binding price floors are prices set above the equilibrium market price; removing a binding price floor will increase the quantity demanded for milk and decrease the quantity supplied of milk.

53. An increase in the supply of good X resulted in an increase in the price and quantity of good Y. It can be concluded that good Y is

2.7 equilibrium

(A) an inferior good
(B) a luxury good
(C) a normal good
(D) a substitute for good X
(E) a complement for good X ✓

Answer E

Correct. Goods are complements of one another if a decrease in the price of one good leads to an increase in demand for the other good. An increase in the supply of good X will cause the price of good X to decrease. The result of this change is an increase in the price and quantity of good Y, which would be caused by an increase in the demand for good Y. Therefore, goods X and Y are complements.

54. A decrease in the supply of pencils results in which of the following?

(A) A surplus of pencils in the market
(B) An increase in the demand for erasers, a complement in consumption
(C) An increase in the quantity demanded of pencils
(D) A decrease in the consumer surplus of pencil buyers ✓
(E) A decrease in the demand for pencils

Answer D

Correct. A decrease in the supply of pencils will increase the equilibrium price of pencils and decrease the equilibrium quantity of pencils. Since consumer surplus represents the difference between the maximum price consumers are willing to pay and the equilibrium price consumers must pay (for all units consumed), this increase in equilibrium price and decrease in equilibrium quantity must reduce consumer surplus.

55. The American Heart Association has just issued a report warning consumers about the negative health effects of eating beef. Which of the following changes in the beef market is most likely to occur as a result?

2.7 equilibrium

(A) The supply curve will shift to the left, increasing the price of beef.

(B) The demand curve will shift to the left, decreasing the price of beef. ✓

(C) The demand curve will shift to the right, increasing the price of beef.

(D) Neither the supply nor demand curve will shift; only quantity will increase as price decreases.

(E) Neither the supply nor demand curve will shift; only quantity will decrease as prices increases.

56. A decrease in the cost of land devoted for building townhouses will most likely cause which of the following?

(A) The supply curve of townhouses will shift to the left.

(B) The demand curve for townhouses will become more elastic.

(C) The price of townhouses will increase.

(D) The supply of townhouses will increase. ✓

(E) There will be less incentive to build townhouses.

Answer D

Correct. A decrease in the cost of land represents a decrease in input costs for developers and will therefore cause the supply of townhouses to increase.

57. Which of the following changes in the demand for and the supply of a good would necessarily lead to a decrease in the equilibrium quantity of the good in the market in the short run?

2.7 equilibrium

(A)

Demand	Supply
Increase	Decrease

(B)

Demand	Supply
Increase	No change

(C)

Demand	Supply
Decrease	Increase

(D) ✓

Demand	Supply
Decrease	Decrease

(E)

Demand	Supply
No change	Increase

58. Which of the following situations would necessarily lead to an increase in the price of peaches?

(A) The wage paid to peach farm workers rises at the same time that medical researchers find that eating peaches reduces the chances of a person's developing cancer. ✓

(B) While the wages of peach farm workers fall drastically, the peach industry launches a highly successful advertising campaign for peaches.

(C) A breakthrough in technology enables peach farmers to use the same amount of resources as before to produce more peaches per acre.

(D) The prices of apples and oranges fall.

(E) Weather during the growing season is ideal for peach production.